

Why the optimal path for a hedge fund ends up looking like a prop firm

X thread by 0xFaust (@0xFaust12), September 17–18, 2026, with its quote chain and replies. Captured 2026-09-18. Source: <https://x.com/0xFaust12/status/2100743670651924652>

1. Root of the quote chain — Ethan Kho (@ethanrkho), Sep 15, 2026

<https://x.com/ethanrkho/status/2099947930824098258>

"there's three main forms of competitive advantage in the investment business.

analytical: you analyze better than somebody else.

informational: you get better information than somebody else.

and behavioral: not just that your behavior is better than other market participants, but that you're able to exploit the uneconomic behavior of other market participants."

the best hedge funds sell one behavioral advantage twice:

they don't panic sell when things go to shit.

and they can explain the drawdown well enough that you don't either.

the fee is for confidence.

Quoting Ethan Kho, Sep 11: "A lot of game theory is very technical, but it really can be reduced to one thing: play weaker players. Don't get into the ring with Mike Tyson." — Alix Pasquet (@alixpasquet), Managing Partner & PM of Prime Macaya Capital Management, a behavioral long/short fund.

2. 0xFaust — "Increasingly secularly bearish on the hedge fund industry", Sep 17, 2026 (11:53 PM)

<https://x.com/0xFaust12/status/2100704821108150762> — 64.9K views, 15 replies, 4 reposts, 247 likes

Increasingly secularly bearish on the hedge fund industry as a whole including the multis. At this point I don't see how the prop firms like JS (*specifically JS) don't subsume alpha from the

fundamental mean revisionary game that most pods are playing while continuing to expand trading horizons to longer holding periods that challenge incumbent LO, LS SM style HFs.

Based on several conversations I've had, I actually think the Tiger Cubs are in a better position than most HF participants to leverage their mandate flexibility to harvest the longer horizon alpha while it is still available but they are so god awful at portfolio construction, market impact, risk management with little desire to change that I doubt they'll rise to the occasion.

Building out a quantitative overlay effort from scratch at one of these places has really opened my eyes to just how far behind most of these HF market participants are from the frontier (even at very HFs), the optimization, risk modelling, and optimal execution edge that the prop firms have is so much larger than most can even appreciate due to lack of technical understanding.

With that said, if you are in the 2 years to make it out of the permanent underclass camp before JS industrializes alpha extraction from the market then I think there is a niche open for an HF that has a Tiger-style open mandate but enough technical knowledge to build risk models, a portfolio optimization framework, optimize for market impact without being constrained to the drawdown limits and inherent incremental investment style of the pods. That is until the music stops...

Replies

Ridire Research (@ridireresearch)

"Before man was, war waited for him. The ultimate trade awaiting its ultimate practitioner."

0xFaust: he gets it

midpricedog (@midpricedog)

Are you in a position to enact the last paragraph of your message? Thought so but maybe I misunderstand the extent of your reach with the overlay effort build out

0xFaust: Yes it is what I'm working on

@not_dsr

Don't agree fully, corporate access matters a lot for fundamental team. These access depends a lot on what kind of firm you are

0xFaust: I hear this often but am not convinced, you can extract features quite readily now from unstructured management data, insider purchases, performance of companies management has previously been at, management guidance hit rate + a great deal of q&a with management at conferences

Loserstar (@Loserstar77)

The top 3 (4?) multi strats should be ok; they've invested a ton into portfolio optimization and execution research, and are not afraid of changing their objective function (see Citadel swallowing a multibillion dollar AI basket). But yeah, the rest are in big trouble

0xFaust: I think on a long enough timeline even they are in trouble, what it will take to compete imo is something like Cit Sec needing to merge with Citadel the HF to actually have a shot at a vertically integrated risk taking firm like JS

Gordo MONK (@fordoglunk)

How does JS do this

0xFaust: Well I'm but a lowly member of the permanent underclass, so I can't say for sure but my current working thought is by pushing into longer and longer horizon holding periods (days -> weeks stat arb + VC) + condensing fundamental research process into an automateable problem which I think is more tractable these days

alpha neutral and beta neutral (@aanalystbro)

A big part of it is that public equities are low key dead. Few smid cap IPOs and just a handful of mega cap IPOs. Being an industrials PM long/short shitty chemical companies or whatever is an awful job. The single managers run big private books in addition to the public one

Terminal Value (@terminal_value_)

There are some Tiger grand cubs at least trying to be somewhat thoughtful about risk management and portfolio construction. But they're not at the scale to hire enough risk and trading quants to use more than the off the shelf tooling.

Joshua (@tangojoshua)

AI will just mean machines will take over longer and longer time horizons and will be able to recognize patterns with less data. Definitely see quants taking over trades of more fundamental podshops

Hank Rearden (@hnk_rearden)

I think there should be a way for this to be validated empirically. Scaled players at the frontier will play in large scale opportunities and as such crowd out the alpha of players not at the frontier playing in the same opportunities, there I agree. This means in large caps [...]

3. 0xFaust — "1/2 Lets think about this from the ground up", Sep 18, 2026 (2:28 AM)

<https://x.com/0xFaust12/status/2100743670651924652> — 64.3K views, 14 replies, 13 reposts, 225 likes. Quote-tweets the post in section 2. No "2/2" had been posted at capture time.

1/2

Lets think about this from the ground up. You are a modal L/S HF and you want to make sure you will be around in 10 years, so you decide you need to make some serious changes. You probably have never hired anybody technical or you have less than a handful of technical people of questionable quality on staff to do this (maybe a DS/SDA + a SWE). You will have to outlay significant upfront cost to build infra + hire expensive technical talent in a market where you are much more likely to be outbid for high quality talent (and mid to low quality is arguably worse than nobody here). While prop firms have a longer time horizon to do this, you will need to convince LPs and GPs substantially invested in the fund that it is worth the firm's time and energy to undergo this transition and expense + you will have to convince your LPs that you will be able to pull this off without it seeming like a red flag and strategy drift.

Say you do all that, you hire 1-2 actual QRs, 1-2 actual SWEs, nice to haves would also be a dedicated risk quant + microstructure quant/qt instead of relying on just the manual execution trader(s) you probably have. Now you have to go about the process of building the commercially useful things without burning too much time + adding value to the desk so your LPs and GPs maintain faith in what you are doing.

You will need to build or buy a risk model and a portfolio optimizer but what's this, if you want to do optimization correctly you will need to calibrate a market impact model because you are probably overtrading and have never really thought about TCA, temporary impact, and permanent impact so you will need to procure or generate a dataset of your trades and the market's response to them

only to find out that your long horizon alphas would have a better transfer coefficient if you overlaid short term execution alphas.

But then you run into a few problems: 1) doing research at the microstructure scale requires much more complex infra, larger and more expensive datasets, 2) Do do this effectively you essentially need a team dedicated to stat arb style signal research but you are just a MT/LT fundamental investor, 3) even if you were able to put a small team on optimal execution signal research + monetization you will come to the realization that you are trading against counterparties at this frequency that can outcompete you on both speed and cost fronts since they are market makers/HFT firms with rebates and colocation you are unable to afford or procure.

What this optimal path ends up looking like is exactly a prop firm and why I believe they will outcompete even the Citadels/Millenniums/Balys of the world

Replies

forward deployed ccp gf (@FangYi11101)

Can they outcompete Shaw and 2Sig

0xFaust: 2sig is doing a good job defeating itself

@borkborkborkx

The decent pod shops are executing into central risk book / market making arm. There is no need to transform themselves, they are already vertically integrated

ctsr (@ctsewerrat)

This is just incorrect on so many levels sorry. Long horizon LS hfs do not need any quants, never did and never will

Charles (@CharlesD353)

"you will need to calibrate a market impact model because you are probably overtrading and have never really thought about TCA, temporary impact, and permanent impact" - I'm constantly

impressed these dudes ever make any money given how much they must burn via this behaviour

Puggy (@puggynyc)

I agree with all these points. Quantification is coming. Gotta stay ahead or get outcompeted.

MatsuiHOF (@nastynestor4lf)

assumes a modal fundamental L/S fund needs to make the transition you describe in order to remain competitive. That isn't really how the industry is evolving. A L/S fund's reason for existing is that it has a differentiated fundamental research process or informational edge.

Sprout (@sprouttrades)

the infrastructure edge in short-horizon liquidity sweeps is why retail discretionary traders have to operate on higher timeframe market structure. competing on micro execution without institutional latency is a slow bleed.

WeighStreet Research (@WeighTheStreet)

I think I see the potential for a sort of merger between wealth management/financial advisor and the hedge fund industries.

Quote tweets

Agustin Lebron (@AgustinLebron3) — <https://x.com/AgustinLebron3/status/2100842745074004157>

IMO this is entirely correct. Small LS HFs are already in trouble, and it's just going to get worse. I also think the large multimanagers aren't immune either. The pod structure induces incentives against tight collaboration that puts them at a disadvantage vs prop firms.

Scott Phillips, O.G. (@ScottPh77711570) — <https://x.com/ScottPh77711570/status/2100759902415438030>

This is all so very real. I know because building the stuff he talks about is what I've been doing. Right down to the 2 kwants, 2 devs and one microstructure kwant

Lionel Lightcycle (@0xLightcycle)

Like carcinization (evolution end-state = crabs), the prop firm structure is the optimal end-state of companies. Everybody is super-aligned, metrics are clear and to the penny, both success & failure are explosive (no zombies)

anon (@anon597260576)

A good way to detect larps is that they love to mix up everything. See below. Complete logorrhoea. Even manages to mention HFTs and competing on speed (?) at the end